Budget 2027: SME Tax Cut and Minimum Wage Measures

Source URLs:

- https://www.malaysiakini.com/news/886658-live-anwar-tables-budget-2027 (original link - live blog summary only)
- https://www.bernama.com/en/general/news.php?id=2618289 (SAMENTA statement, 10 Oct 2026)
- https://www.bernamabiz.com/news.php?id=2617998 (SAMENTA tax savings detail, 9 Oct 2026)

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Budget 2027: Goodies galore, benefits for the middle class

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Prime Minister Anwar Ibrahim has tabled Budget 2027 in Parliament. Next year's budget is chock-full of goodies, many of which benefit the middle class, including increased tax relief and broader tax claims. There are also allowances for youths, relief for National Higher Education Fund Corporation borrowers, and more assistance for Rahmah Cash Aid recipients.

SAMENTA Hails Budget 2027 As 'SME Budget'

BERNAMA - 10 Oct 2026

The Small and Medium Enterprises Association of Malaysia (SAMENTA) has hailed Budget 2027 as an "SME Budget", citing measures to ease cash flow pressures and lower operating costs for micro, small and medium enterprises (MSMEs).

Its national president Datuk William Ng also welcomed the declaration of 2027 as "Malaysia MSME Year" by Entrepreneur and Cooperatives Development Minister Steven Sim Chee Keong.

The budget's focus on MSMEs was reflected in:

- **RM57 billion** financing and guarantee package (up from RM50 billion)
- **One-percentage-point reduction** in the corporate income tax rate for SMEs
- **Exemption for SMEs** from the revised RM2,000 minimum wage requirement

SAMENTA also strongly endorses the ABCD Framework by KUSKOP, which offers a targeted roadmap to scale the "Missing Middle", empowering domestic small businesses to modernise, integrate into high-value supply chains, and compete regionally.

Prime Minister Anwar Ibrahim announced that:

- Loan facilities and financing guarantees for MSMEs increased to **RM57 billion** in 2027 (from RM50 billion)
- Corporate income tax rates for SMEs **reduced by one percentage point**
- Minimum wage raised from **RM1,700 to RM2,000** effective **June 2027**
- MSMEs with annual sales below RM50 million **exempted** from the revised minimum wage rate

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SME Tax Cut To Provide Up To RM6,000 In Savings -- SAMENTA

BernamaBiz - 9 Oct 2026

SAMENTA welcomes the one per cent corporate income tax reduction for MSMEs under Budget 2027, expected to provide up to **RM6,000 in tax savings** to over **300,000 SMEs**.

Revised SME Corporate Tax Rates (Budget 2027):

Bracket	Previous Rate	New Rate
First RM150,000 of taxable income	15%	**14%**
RM150,001 to RM600,000	17%	**16%**
RM600,001 and above	24%	24% (unchanged)

Other Key Budget 2027 SME Measures:

- SMEs with annual turnover below RM50 million **exempted** from new RM2,000 minimum wage mandate (effective June 2027)
- E-Commerce Bill to be tabled to regulate foreign e-commerce platforms and cross-border sellers
- Total financing and guarantee facilities expanded from RM50 billion to **RM57 billion**
- **RM32 billion** in guarantee capacity from SJPP and CGC
- **RM30 million** to MDEC targeting 4,000 SMEs for AI adoption and operational automation
- **RM60 million** for MATRADE and **RM1 billion** in BPMB export financing
- **RM5 billion** additional financing facility for SMEs affected by West Asia conflict
- **RM6.6 billion** in microfinancing in 2027
- **RM2.1 billion** from NIMP Strategic Co-Investment Fund, KWAP's Dana Pemacu and Khazanah's Mid-Tier Company Fund
- **RM7.5 billion** reserved government procurement for G1-G4 Bumiputera contractors
- **RM1 billion** financing through TERAJU
- **RM2 billion** to strengthen Bumiputera companies
- **RM250 million** under Dana Ciptawan for mid-sized Bumiputera companies

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